



Maintain guests' financial records

D1.HFO.CL2.04

Assessor Manual



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Table of Contents

Competency Based Assessment (CBA) – An Introduction for Assessors	1
Competency Standard	11
Oral Questions	25
Written Questions	37
Answers to Written Questions	45
Observation Checklist	51
Third Party Statement	55
Competency Recording Sheet	57

Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes
- Case Studies

- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region.

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes
- The rights of the candidate are protected during and after the assessment
- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal

- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

	Tick (✓)	Remarks
Prior to the assessment I have:		
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
 ▪ You are required to complete these activities:
 a) *Using the 'X' method of assessment*
 b) *At 'X' location*
 c) *You will have 'X time period' for this assessment*
 ▪ You are required to compile information in a format that you feel is appropriate to the assessment
 ▪ Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment

- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These oral questions are part of the formal assessment for the unit of competency titled X.
There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.
We have 60 minutes for this assessment.
 - I will give you feedback at the end of the assessment
 - Do you have any questions about this assessment?"
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering 'Remarks' as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of 'Written Questions' for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):
"These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?"

- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date
- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency Standard

UNIT TITLE: MAINTAIN GUESTS' FINANCIAL RECORDS		NOMINAL HOURS: 30
UNIT NUMBER: D1.HFO.CL2.04		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to create, maintain and present in-house guest accounts in a front office context		
ELEMENTS AND PERFORMANCE CRITERIA		UNIT VARIABLE AND ASSESSMENT GUIDE
Element 1: Determine the context of guest financial records 1.1 Identify the <i>financial documentation involved</i> 1.2 Identify the <i>goods and services</i> that require record maintenance 1.3 Identify the <i>accounting process</i> for the establishment 1.4 Identify the <i>types of transaction</i> processed as part of maintaining guest financial records 1.5 Identify the <i>deposit and advance payment requirements</i> for the organisation 1.6 Identify the <i>room rates</i> that apply to the property 1.7 Identify the <i>guest record keeping system</i>		Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment This unit applies to all industry sectors that generate and update folios for in-house guests within the labour divisions of the hotel and travel industries and may include: 1. Front Office <i>Financial documentation involved</i> may include: • Guest accounts/folios • Master folios • Non-guest folios • City ledgers • Statement of account • Receipts • Advance deposit requests

1.8 Identify the <i>personnel responsible for guest financial records</i> 1.9 Identify the <i>limitations and restrictions that apply to guest financial transactions with the property</i> 1.10 Identify the procedures for dealing with <i>problem account situations</i> 1.11 Identify the <i>payment options</i> for guests Element 2: Establish guest financial record 2.1 <i>Open guest account in accordance with organisational requirements</i> 2.2 Obtain and record <i>payment from guests on arrival</i>, where appropriate 2.3 <i>Notify revenue centres regarding status of individual accounts/guests</i> 2.4 <i>Update guest account</i> on arrival of guest 2.5 <i>Check guest history</i> Element 3: Maintain guest financial record 3.1 <i>Update charges</i> to guest account 3.2 <i>Update payments</i> made on guest account 3.3 <i>Monitor house limits</i> on guest accounts 3.4 <i>File supporting documentation</i> for charges and products and services rendered 3.5 <i>Reconcile guest accounts</i> 3.6 <i>Notify revenue centres regarding changes to guest status</i>, as required	• Credit notes • Guest credit report • Refund documentation • Documentation supporting non-cash transactions • Paid out vouchers for disbursements • Vouchers for payment of/in lieu of payment • Credit card imprints • Guest charge dockets, reflecting charges made by guests to their account • Cash register audits rolls/tapes. <i>Goods and services</i> may include: • Accommodation • Food • Beverage • In-room services, including room service, video hire and extra services • Laundry and linen room services • Disbursements • Hire and/or use of facilities • Functions • Purchases made at establishment retail outlets. <i>The accounting process</i> should relate to: • Analysing transactions that occur as part of the accounting process • Identifying the documentation that attaches to each stage of the accounting process
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3.7 *Make refunds, where appropriate*

3.8 *Contribute towards night audit functions*

3.9 *Prepare account for payment*

Element 4: Finalise guest financial record

4.1 *Present account to guest for payment*

4.2 *Explain charges as required*

4.3 *Accept payment*

4.4 *Record payment*

4.5 *Process finalised guest account*

4.6 *Deal with late charges*

- Posting debits and credits to guest accounts
- Auditing the accounting process
- Settling the account.

Types of transaction may be related to:

- Cash transaction
- Non-cash transaction
- Account receivable transaction
- Account payable transaction
- Cash payout transaction
- Posting charges
- Auditing accounts
- Account settlement.

Deposit and advance payment requirements should include:

- Amount of deposit required for a range of different booking types
- Timelines that attach to the requirement for deposits and advance payment
- Effect that not paying a deposit by the required time has on the status of the reservation
- Ways in which deposits may be paid.

Room rates should relate to:

- All the different rates the establishment posts as legitimate room only charges, including designated food, beverage and other items as appropriate to a package deal
- Discount rates available, including definition of eligibility for discounts and the amount of discount applicable.

Guest record keeping system may include:

- Paper-based

	• Electronic • Integrated with a computerised reservation system. <i>Personnel responsible for guest financial records may include:</i> • Room clerks • Night auditors • Billing/posting clerk • Cashier. <i>Limitations and restrictions that apply to guest financial transactions with the property may include:</i> • Credit card floor and establishment limits • Advancement payment requirements • Policies relating to cancelling, guaranteeing, confirming, refusing, or regretting bookings • Methods of payment accepted by the business • Legal claim over guest property for non-payment of account • Identifying goods and services that can and cannot be charged to accounts under negotiated arrangements with clients. <i>Problem account situations may include:</i> • Skippers • Bad debts • Late charges • Dishonoured checks • Refused credit cards • Charges that fall outside the range of acceptable charges that can be posted to an account.
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	<i>Payment options</i> may include: • Cash • Debit and credit cards • Traveller's checks • Foreign currency • Accounts signed by guests and forwarded to head office, employer or other organisation. <i>Open guest account in accordance with organisational requirements</i> may include: • Integrating the creation of a folio with room allocation • Entering known guest details onto the folio, including data from guest history files, where applicable, plus data from reservation slips • Listing payment received as part of the booking process • Filing folio in date of arrival order, where required. <i>Payment from guests on arrival</i> may include: • Walk-ins • Guests with bookings for which no deposit or advance payment has been made • Previous bad debt guests. <i>Notify revenue centres regarding status</i> may include: • Updating internal system with guest details • Informing others regarding the types of charges that can be accepted/posted to the account which may include denial of charge facilities to guests who pay cash in advance for their room • Advising others regarding monetary limits that apply to charges • Advising revenue centres of cash only status of relevant guests who may include walk-ins, previous non-payers, identified credit risks.
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	<i>Update guest account</i> may include: • Recording payment made, if any • Capturing and recording credit card imprint • Re-locating guest account to reflect arrived status of guest. <i>Check guest history</i> must include: • Previous spending history of guest • Previous payment problems with guest • Determining house limits for individual guests. <i>Update charges</i> may include: • Seeking charges for posting to guest accounts from revenue centres • Posting charges to guest accounts • Obtaining supporting documentary evidence to support all charges • Verifying the accuracy of supporting documentation • Classifying charges according to their correct type • Maintaining accurate and current running account balance • Adhering to double-entry accounting principles • Applying appropriate codes • Resolving variances between guest accounts and department balances. <i>Update payments</i> may include: • Posting payments received to guest accounts • Issuing receipts for money received • Noting the method of payment used by the guest
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- Remitting payment to the appropriate internal location
- Maintaining accurate and current running account balance
- Adhering to double-entry accounting principles.

Monitor house limits may include:

- Ensuring accounts do not exceed the designated limit for individual guests
- Seeking payment from guests when the house limit is reached
- Taking appropriate action if payment is not received, including cessation of credit/charge facilities and removal of guest from the premises
- Recording payments received and processing same in accordance with house procedures.

File supporting documentation may include:

- Obtaining and checking/verifying point-of-sale vouchers and dockets, including room service documentation
- Placing copies of documents signed by the guest as evidence of purchase into guest folio
- Ensuring correct documentation is attached to the appropriate room/guest.

Reconcile guest accounts may include:

- Validating charges
- Ensuring charges have been posted to the correct room/guest
- Balancing revenue and charges against sales
- Detecting errors
- Investigating and rectifying errors
- Proving balances.

	<i>Notify revenue centres regarding changes to guest status</i> may include: • Changing guest status from credit to cash only • Notifying house limit has been reached/exceeded. <i>Make refunds</i> may include: • Making payments to guests in alignment with house policies on refunds and cancellations • Offering discount to guests in response to complaint, problem or provision of sub-standard service. <i>Night audit functions</i> may include: • Verifying all relevant financial transactions have been posted • Validating transactions and charges made • Posting late charges • Posting daily accommodation charges • Reconciling transactions • Identifying and resolving discrepancies • Implementing requirements of internal financial systems and controls. <i>Prepare account for payment</i> may include: • Ensuring all legitimate charges have been posted • Ensuring all payments received have been recorded • Ensuring all supporting documentation is available, if required. <i>Present account to guest for payment</i> may include: • Presenting guest with hard copy account on departure/at check-out • Providing express check-out facilities and account • Forwarding account to nominated address for payment, as arranged.
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	<i>Explain charges</i> may include: • Explaining the coding system relating to charges made • Providing supporting documentation to prove a charge • Using discretionary authority to remove contested charges from the account with apology. <i>Accept payment</i> may include: • Taking payment only in the authorised means • Verifying authority for guest to sign for goods and services received • Following in-house protocols where payment is made by check • Thanking the guest • Performing normal cashier duties. <i>Record payment</i> may include: • Issuing receipt • Processing the guest account • Updating required balances • Ensuring the final total reads zero where full payment has been made. <i>Process finalised guest account</i> may include: • Processing payment according to in-house procedures • Forwarding payment to nominated location • Forwarding accompanying documentation to nominated location • Updating required internal boards to reflect guest departure.
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Deal with late charges may include:

- Processing charges against obtained credit card details
- Forwarding account for payment, including explanatory letter and copy of supporting evidence of purchase
- Processing charges deemed as write offs.

Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

- The enterprise's policies and procedures in regard to record and account keeping for in-house guests including cancellations and advance payments and deposits
- Principles of front office operations, including reservations, room allocations, reservation processing, check-in and check-out procedures for dealing with individual guests as well as group bookings
- Ability to use standard accounting techniques and principles
- Ability to use the reservation and account keeping system of the host enterprise
- Ability to negotiate with guests, conflict and complaint resolution skills, literacy and numeracy skills and cash handling skills
- Understanding all documents and files used within the manual or electronic front office system that is in operation in the host enterprise
- Understanding all reception records and reports that need to be created, amended, produced, updated and distributed
- Product knowledge of all the products and services provided by the host enterprise
- Accuracy in the reviewing, checking, posting and analysis of trading data, statistics and guest charges
- Knowledge of the role of night auditing in the overall operational and financial management of the property.

Linkages To Other Units

- Access and retrieve computer-based data
- Perform clerical procedures
- Maintain financial standards and records
- Receive and resolve customer complaints
- Provide accommodation services
- Process a financial sale transaction
- Operate a computerised reservation system
- Maintain quality customer/guest service
- Maintain a paper-based filing and retrieval system
- Prepare business documents
- Use common business tools and technology
- Work cooperatively in a general administration environment
- Prepare financial statements
- Design, prepare and present various types of reports.

Critical Aspects of Assessment

Evidence of the following is essential:

- Understanding of host enterprise policies and procedures in regard to record and account keeping for in-house guests, including cancellations and advance payments and deposits
- Demonstrated ability to accurately establish, maintain and present at least six actual or simulated guest accounts reflecting a diverse and extensive range of representative goods and services provided by a real or simulated industry accommodation property.

Context of Assessment

This unit may be assessed on or off the job

- Assessment should include practical demonstration either in the workplace or through a simulation activity, supported by a range of methods to assess underpinning knowledge
- Assessment must relate to the individual's work area or area of responsibility.

Resource Implications

Training and assessment to include access to a real or simulated workplace; and access to workplace standards, procedures, policies, guidelines, tools and equipment.

Assessment Methods

The following methods may be used to assess competency for this unit:

- Case studies
- Observation of practical candidate performance
- Oral and written questions
- Analysis of a portfolio of evidence including guest accounts, supporting evidence, vouchers, updated folios and proof of reconciliation
- Problem solving to address variances in balancing procedures
- Third party reports completed by a supervisor
- Project and assignment work.

Key Competencies in this Unit

Level 1 = competence to undertake tasks effectively

Level 2 = competence to manage tasks

Level 3 = competence to use concepts for evaluating

	Key Competencies	Level	Examples
	Collecting, organising and analysing information	3	Undertake reconciliations
	Communicating ideas and information	2	Explain charges to guests
	Planning and organising activities	3	Schedule account keeping activities
	Working with others and in teams	2	Resolve discrepancies with charges
	Using mathematical ideas and techniques	3	Ensure postings to guest account are accurate
	Solving problems	2	Manage guest queries at check-out
	Using technology	3	Use the computerised system to process guest accounts and reconcile postings and payments

Oral Questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Maintain guests' financial records D1.HFO.CL2.04
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. What financial documentation is involved in your workplace when processing guest financial records?	☐	☐
2. What goods and services require record maintenance at your workplace?	☐	☐

Questions	Response	
	PC	NYC
3. Describe the accounting process at your workplace.	☐	☐
4. What types of transactions are processed as part of maintaining guest financial records at your workplace?	☐	☐
5. What are the advanced deposit requirements for house guests in your venue?	☐	☐

Questions	Response	
	PC	NYC
6. How can you identify current room rates at your venue?	☐	☐
7. Describe the guest record keeping system in your workplace.	☐	☐
8. Who are the personnel (by job title/position) responsible for guest financial records at your venue?	☐	☐

Questions	Response	
	PC	NYC
9. Explain the limitations and restrictions that apply to guest financial transactions at your venue.	☐	☐
10. A departing guest has no credit/debit card and insufficient cash to pay their account: what are house protocols for handling this situation?	☐	☐
11. What account payment options are available for guests at your workplace?	☐	☐

Questions	Response	
	PC	NYC
12. What organisational requirements apply to the opening of a guest account in your venue?	☐	☐
13. A guest pays a room deposit on arrival: describe how you will process this.	☐	☐
14. How are departments throughout the venue informed of the existence and details of a new guest?	☐	☐

Questions	Response	
	PC	NYC
15. What do you do to update a prepared guest account when the guest actually arrives at the venue?	☐	☐
16. How do you check guest history at your workplace and why is this done?	☐	☐
17. A house guest has asked reception staff to pay for a taxi they have used to return to the venue: how will this charge be processed?	☐	☐

Questions	Response	
	PC	NYC
18. A long-term guest has paid a lump sum off their account: how will this be processed?	☐	☐
19. How do you monitor house limits applicable to guests?	☐	☐
20. What supporting documentation is frequently filed to support charges made to guest accounts?	☐	☐

Questions	Response	
	PC	NYC
21. What is involved in reconciling guest accounts?	☐	☐
22. A house guest has reached their house limit for charging items to their room/account: how are revenue centres in your workplace advised of this?	☐	☐
23. Identify three situations where you may be required to process refunds on a guest account at your workplace.	☐	☐

Questions	Response	
	PC	NYC
24. Describe your role in relation to completing night audit.	☐	☐
25. Tell me what is involved in your workplace when preparing a guest account for payment by a departing guest.	☐	☐
26. Give me an example of what you would say when presenting an account to a departing guest for payment.	☐	☐

Questions	Response	
	PC	NYC
27. Identify one charge your venue allows on a guest account and demonstrate how you would explain that charge to a departing guest.	☐	☐
28. What checks do you make when accepting payment of an account by credit card?	☐	☐
29. What is involved in recording payment of a departing guest when they finalise their account?	☐	☐

Questions	Response	
	PC	NYC
30. Tell me what is involved in processing a finalised guest account at your venue.	☐	☐
31. Tell me how you process late charges for a departed guest at your venue.	☐	☐

Written Questions

Maintain guests' financial records – D1.HFO.CL2.04

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. What is a financial transaction?

2. Why is it important to ensure that source documentation exists for all financial transactions?

3. List five goods or services that may be offered to guests and the accompanying source document that may be used to record the financial transaction.

4. What is the relationship between the cycle of service and the guest accounting cycle?

5. What are the four stages of the cycle of service and the corresponding stages in the guest accounting cycle?

6. Explain the difference between the in-house guest ledger and the city ledger. Do all guest accounting systems feature these ledger accounts?

7. For each stage of the guest accounting cycle, list an example of one financial transaction.

8. Explain two reasons why advance payments or deposits are recorded separately in the guest accounting system.

9. What is the rack rate and why is it the rate that is rarely charged to guests?

10. What is the difference between a master account and an extras account? Explain when you may set up both accounts for a guest.

11. Why does an accommodation venue place restrictions or limits on guest accounts?

12. List and describe one problem that can occur on the guests account at each stage of the guest accounting cycle.

13. What is the difference between a correction and an adjustment?

14. When is a unique guest number assigned to the guest account? Explain how this number is used to access guest history.

15. How does a guest ensure that their guest account remains open during their stay?

16. Why are revenue centres notified of the status of guest accounts?

17. Explain when the guest account shows a debit and when it shows a credit.

18. Describe the process for both a manual and computerized guest accounting system for posting accommodation charges to guest accounts.

19. Why may guests choose to make payments on their accounts during occupancy?

20. Who is responsible for recording payments made to guest accounts?

21. What is the difference between a house limit and a floor limit? Use examples to explain your answer.

22. Why is there a process to reconcile guest accounts?

23. What information do you need to reconcile guest accounts?

24. If you have added department reports and the total does not agree to the total guest activity, what is the first step you will do?

25. Describe the procedure you may follow in your workplace or otherwise if you have found the total guest account balance to be less than the total individual department reports?

26. What is a refund and why is it paid?

27. List two tasks performed by the night auditor.

28. Explain the process for finalizing the guest account in either a computerized or manual environment.

29. A guest has queried a charge that is posted to their account as they have no recollection of the goods or services that the charge covers.

30. Describe the methods of payment that are acceptable at your workplace for settling the guest account.

31. What are late charges?

32. Describe the process for dealing with late charges when pre-authorization has been given by a third party.

Answers to Written Questions

Maintain guests' financial records – D1.HFO.CL2.04

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. What is a financial transaction?

A financial transaction is the exchange of something of value, such as a monetary payment in return for goods or services.

2. Why is it important to ensure that source documentation exists for all financial transactions?

Source documentation provides details of activities on guest accounts. This activity can represent revenue to the accommodation venue and must therefore be recorded in the PMS of the venue in an accurate and timely manner.

3. List five goods or services that may be offered to guests and the accompanying source document that may be used to record the financial transaction.

- Accommodation – the guest account
- Restaurant – the bill
- Telephone charges – in-house usage recording system reports
- Room service – room service bill
- Laundry services – receipt or bill from laundry provider
- Purchase from retail outlets – register docket summarizing transaction.

4. What is the relationship between the cycle of service and the guest accounting cycle?

The guest accounting cycle mirrors the cycle of service but details the accounting characteristics of each stage of the cycle of service.

5. What are the four stages of the cycle of service and the corresponding stages in the guest accounting cycle?

- Pre-arrival
- Arrival – Account creation
- Occupancy – Account maintenance
- Departure – Account settlement.

6. Explain the difference between the in-house guest ledger and the city ledger. Do all guest accounting systems feature these ledger accounts?

The in-house guest ledger records all activity for guests staying at the accommodation venue and the city ledger summarizes all financial transactions for non in-house guests.

7. For each stage of the guest accounting cycle, list an example of one financial transaction.

- Pre-arrival – payment of deposit
- Arrival – payment made by guest without a reservation
- Occupancy – room charge
- Departure – finalized guest account.

8. Explain two reasons why advance payments or deposits are recorded separately in the guest accounting system.

- Legal requirements – refer to local laws
- Accounting requirements – revenue must not be recognised until it is earned
- Organizational requirements – planning.

9. What is the rack rate and why is it the rate that is rarely charged to guests?

The rack rate is the standard charge for a room in an accommodation venue. It is really used for planning purposes as competition, occupancy and other factors usually mean that the rate charged to guests is different.

10. What is the difference between a master account and an extras account? Explain when you may set up both accounts for a guest.

A master account is the main account used to record charges for a group or company. An extras account is an individual guest account that records all charges other than accommodation. Guests that are travelling as a group or on business often have extras accounts as a third party pays the accommodation charge.

11. Why does an accommodation venue place restrictions or limits on guest accounts?

Guests can purchase goods or services at an accommodation venue and pay for them later by charging to their guest account. These charges represent revenue to the venue. Establishments need to be sure that they will be paid on departure for these goods and services. Limiting or restricting guest accounts ensures that only those guests who have provided relevant authorization can charge to their account.

12. List and describe one problem that can occur on the guests account at each stage of the guest accounting cycle.

- Arrival – deposit not found
- Occupancy – item in dispute

- Departure – room charge different to quote at reservation.

13. What is the difference between a correction and an adjustment?

A correction is a deduction of the total amount from the guest's account and an adjustment is a change to the charge such as a reduction.

14. When is a unique guest number assigned to the guest account? Explain how this number is used to access guest history.

When the guest arrives at the accommodation venue and checks in, their guest account is opened and a unique guest number assigned. When the guest stays again, the system finds the guest, retrieves their history such as personal details and updates the current guest account.

15. How does a guest ensure that their guest account remains open during their stay?

The guest provides a credit card authorization at check in. The guest also ensures that the balance on their account does not exceed house limits.

16. Why are revenue centers notified of the status of guest accounts?

Revenue centres or other departments are notified of guest account status so that they know whether or not the guest can charge goods or services to their guest account.

17. Explain when the guest account shows a debit and when it shows a credit.

A charge to a guest's account is a debit and a payment on a guest's account is a credit.

18. Describe the process for both a manual and computerized guest accounting system for posting accommodation charges to guest accounts.

- Manual – each individual guest account or master account is updated manually each night to reflect the room charge for that day and night
- Computerized – system guidelines are followed to run the nightly procedures for automatically updating each guest account with their room charge for that day and night.

19. Why may guests choose to make payments on their accounts during occupancy?

- Minimize payments on departure
- "Use up" local notes and coins before returning home
- The guest is travelling as part of a group and does not want to delay group at check out
- Reduce balance as in-house limits were reached.

20. Who is responsible for recording payments made to guest accounts?

Front office personnel maintain and record payments on guest accounts.

21. What is the difference between a house limit and a floor limit? Use examples to explain your answer.

House limits are set by each organization and detail a financial limit that guest accounts can reach. A floor limit is usually set by credit card companies. Authorization must be obtained from the credit card company before transactions that are on or above the floor limit are processed.

22. Why is there a process to reconcile guest accounts?

The purpose for reconciling guest accounts is to ensure that charges and payments posted to guest accounts agree to the source documentation that supports the transaction.

23. What information do you need to reconcile guest accounts?

- Summary of activity on guest accounts for that day or shift
- Individual department reports detailing goods and services purchased and charged to guest accounts.

24. If you have added department reports and the total does not agree to the total guest activity, what is the first step you will do?

Check that the totals have been calculated correctly.

25. Describe the procedure you may follow in your workplace or otherwise if you have found the total guest account balance to be less than the total individual department reports?

- Calculate the difference
- Find the amount on a department report and if successful, check it has been posted to the correct guest account
- Search through each department report and match to individual guest accounts
- Once the error is found, post the charge and check the reconciliation again.

26. What is a refund and why is it paid?

Refunds are made to guests when the payments on their guest account exceed their charges. Refunds mean that the accommodation venue is returning funds to the guest, using the same method of payment.

27. List two tasks performed by the night auditor.

- Update the PMS with accommodation charges on guest accounts
- Generate and distribute financial reports.

28. Explain the process for finalizing the guest account in either a computerized or manual environment.

- Identify departing guests from departure report
- Check with other departments that there are no outstanding charges to be posted to the guest account
- Process any charges
- Print a copy of the guest account ready for account settlement.

29. A guest has queried a charge that is posted to their account as they have no recollection of the goods or services that the charge covers.

Identify the source document and check the charge. If it is correct, show the guest the source document. If the charge is incorrect, make a correction or adjustment depending on the nature of the injury.

30. Describe the methods of payment that are acceptable at your workplace for settling the guest account.

Notes and coins, credit card, prepaid vouchers, cheques, travellers cheques.

31. What are late charges?

Late charges are those charges for goods and services that have been provided to guests but are not included on the guest's account before departure.

32. Describe the process for dealing with late charges when pre-authorization has been given by a third party.

When a guest account is to be settled by a third party, the accounts department may send a letter or other acceptable method of formal communication accompanied by details of the charge to the third party requesting payment.

Observation Checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Maintain guests' financial records D1.HFO.CL2.04
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Determine the context of guest financial records - Establish guest financial record - Maintain guest financial record - Finalise guest financial record - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Determine the context of guest financial records		
Identify the financial documentation involved	☐	☐
Identify the goods and services that require record maintenance	☐	☐
Identify the accounting process for the establishment	☐	☐
Identify the types of transaction processed as part of maintaining guest financial records	☐	☐
Identify the deposit and advance payment requirements for the organisation	☐	☐
Identify the room rates that apply to the property	☐	☐
Identify the guest record keeping system	☐	☐

Identify the personnel responsible for guest financial records	☐	☐
Identify the limitations and restrictions that apply to guest financial transactions with the property	☐	☐
Identify the procedures for dealing with problem account situations	☐	☐
Identify the payment options for guests	☐	☐
Element 2: Establish guest financial record		
Open guest account in accordance with organisational requirements	☐	☐
Obtain and record payment from guests on arrival, where appropriate	☐	☐
Notify revenue centres regarding status of individual accounts/guests	☐	☐
Update guest account on arrival of guest	☐	☐
Check guest history	☐	☐
Element 3: Maintain guest financial record		
Update charges to guest account	☐	☐
Update payments made on guest account	☐	☐
Monitor house limits on guest accounts	☐	☐
File supporting documentation for charges and products and services rendered	☐	☐
Reconcile guest accounts	☐	☐
Notify revenue centres regarding changes to guest status, as required	☐	☐
Make refunds, where appropriate	☐	☐
Contribute towards night audit functions	☐	☐
Prepare account for payment	☐	☐

Element 4: Finalise guest financial record		
Present account to guest for payment	☐	☐
Explain charges as required	☐	☐
Accept payment	☐	☐
Record payment	☐	☐
Process finalised guest account	☐	☐
Deal with late charges	☐	☐
Did the student's overall performance meet the standard?	☐	☐
Feedback to student and trainer/assessor		
Strengths: 		
Improvements needed: 		

General comments:

Candidate signature		Date	
Assessor signature		Date	

Third Party Statement

Student name:			
Name of third party:		Contact no	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other Please specify: _____ Please do not complete the form if you are a relative, close friend or have a conflict of interest]		
Unit of competency:	Maintain guests' financial records D1.HFO.CL2.04		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? (tick the correct response]	Yes	No	Not sure
Identifies financial documentation, items requiring record maintenance, types of transactions and the workplace accounting process	☐	☐	☐
Identifies the deposit and advance payment requirements for the organisation	☐	☐	☐
Identifies venue room rates, guest record keeping system, and personnel responsible for guest financial records	☐	☐	☐
Identifies venue limitations and restrictions that apply to guest financial transactions, procedures for dealing with problem account situations and payment options	☐	☐	☐
Establishes/opens guest accounts, checks guest histories, obtains and records payment from guests on arrival, updates accounts on guest arrival, and notifies revenue centres regarding status of accounts/guests	☐	☐	☐
Updates charges to and payment made to guest accounts monitoring house limits on guest accounts	☐	☐	☐
Files supporting documentation and reconciles guest accounts	☐	☐	☐
Makes refunds, contributes towards night audit functions and prepares account for payment	☐	☐	☐
Presents account to guest for payment, ,explains charges and accepts and records payment	☐	☐	☐
Processes finalised guest account including dealing with late charges	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:

Third party signature:

Date:

Send to:

Competency Recording Sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Maintain guests' financial records	D1.HFO.CL2.04
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Determine the context of guest financial records						
Identify the financial documentation involved						
Identify the goods and services that require record maintenance						
Identify the accounting process for the establishment						
Identify the types of transaction processed as part of maintaining guest financial records						
Identify the deposit and advance payment requirements for the organisation						
Identify the room rates that apply to the property						
Identify the guest record keeping system						
Identify the personnel responsible for guest financial records						
Identify the limitations and restrictions that apply to guest financial transactions with the property						
Identify the procedures for dealing with problem account situations						
Identify the payment options for guests						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 2: Establish guest financial record						
Open guest account in accordance with organisational requirements						
Obtain and record payment from guests on arrival, where appropriate						
Notify revenue centres regarding status of individual accounts/guests						
Update guest account on arrival of guest						
Check guest history						
Element 3: Maintain guest financial record						
Update charges to guest account						
Update payments made on guest account						
Monitor house limits on guest accounts						
File supporting documentation for charges and products and services rendered						
Reconcile guest accounts						
Notify revenue centres regarding changes to guest status, as required						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Make refunds, where appropriate						
Contribute towards night audit functions						
Prepare account for payment						
Element 4: Finalise guest financial record						
Present account to guest for payment						
Explain charges as required						
Accept payment						
Record payment						
Process finalised guest account						
Deal with late charges						
Candidate signature:			Date:			
Assessor signature:			Date:			

